Vermont Financial Profile & Rules

> **Composite COL Index:** 115.9
> **Housing Cost Metric:** 128.3
> **Income Tax Burden:** 3.35% – 8.75% Progressive

State-Specific Financial Q&A

Q: How is individual income tax structured in Vermont?

A: Vermont utilizes a highly progressive multi-bracket income tax system, with marginal rates scaling from a low of 3.35% up to a top tier of 8.75%.

Q: Does Vermont levy an estate or inheritance tax?

A: Vermont has an estate tax with a flat rate of 16% on estates exceeding a statutory exclusion threshold of $5 million. It does not have an inheritance tax.

Q: How does the Homestead Declaration impact property taxes?

A: Residents must file an annual Homestead Declaration, which separates residential property rates from non-homestead properties to adjust rates based on household income.

Q: What are the corporate income tax brackets in Vermont?

A: Corporate net income is taxed on a progressive scale ranging from 6.00% up to a top rate of 8.50%.

Cost of Living (COL) Index Reference

Metric Point	Value vs. National Baseline (100.0)
Composite COL Index	115.9
Housing Cost Metric	128.3